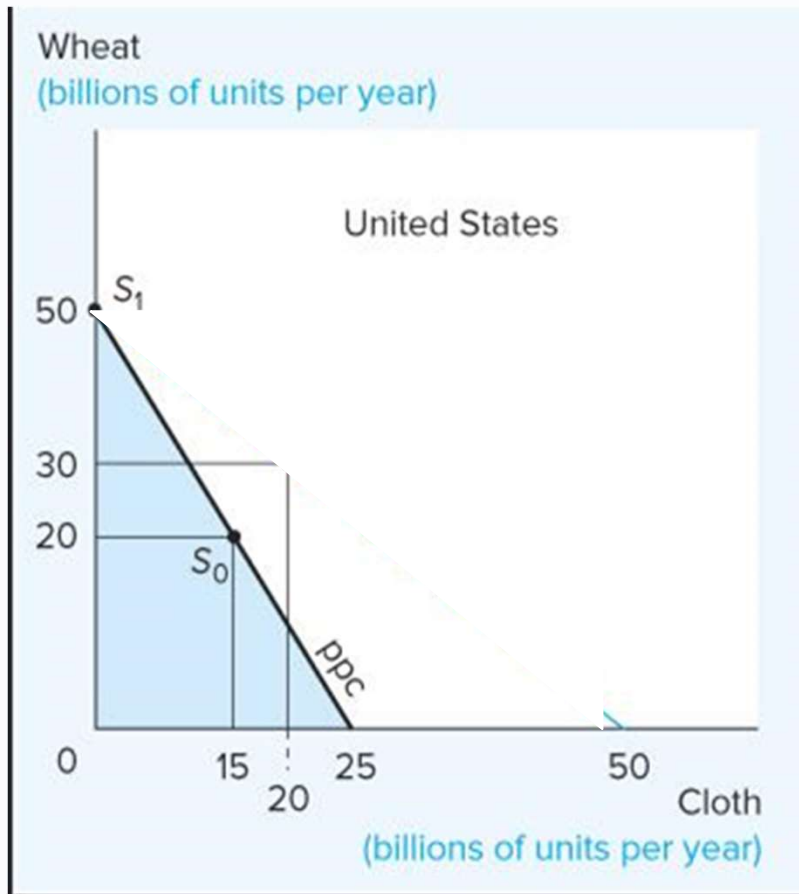


Chapter 4: Trade: Factor Availability and Factor Proportions Are Key

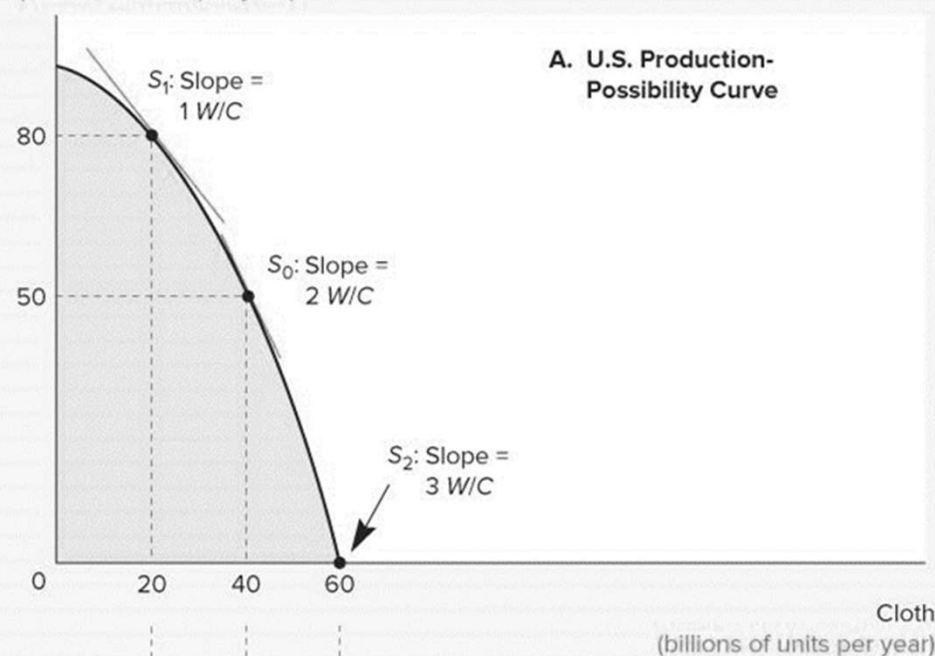
International Economics, 17th Edition, Pugel

Production with Increasing Marginal Costs

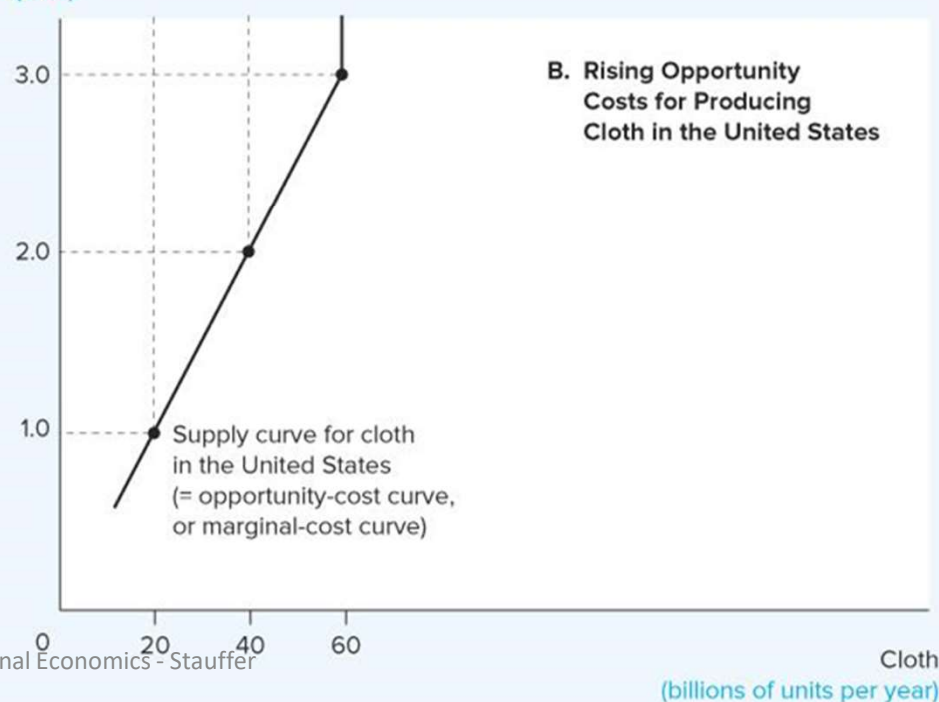


Production Possibilities under Increasing Costs

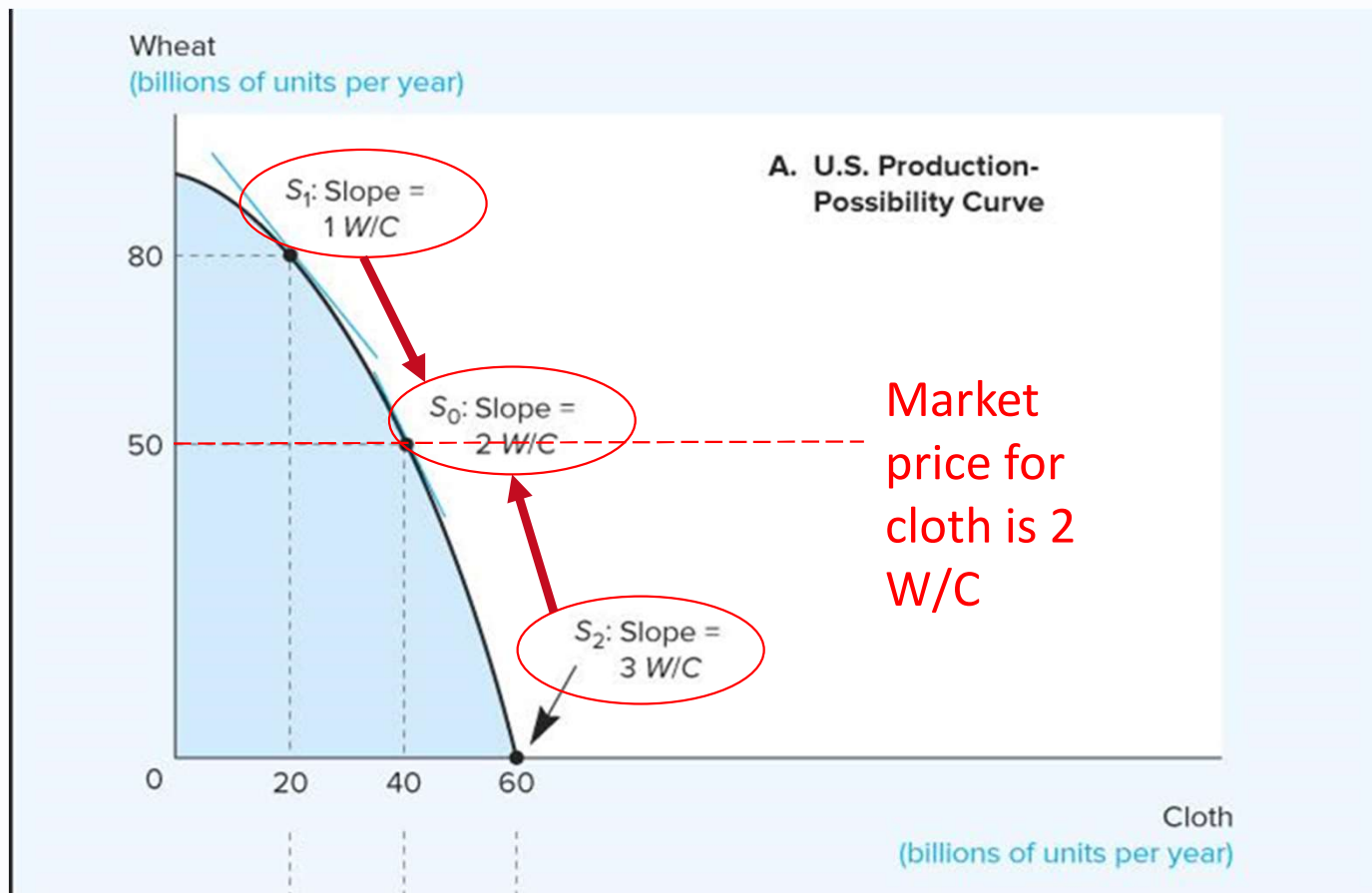
Wheat
(billions of units per year)



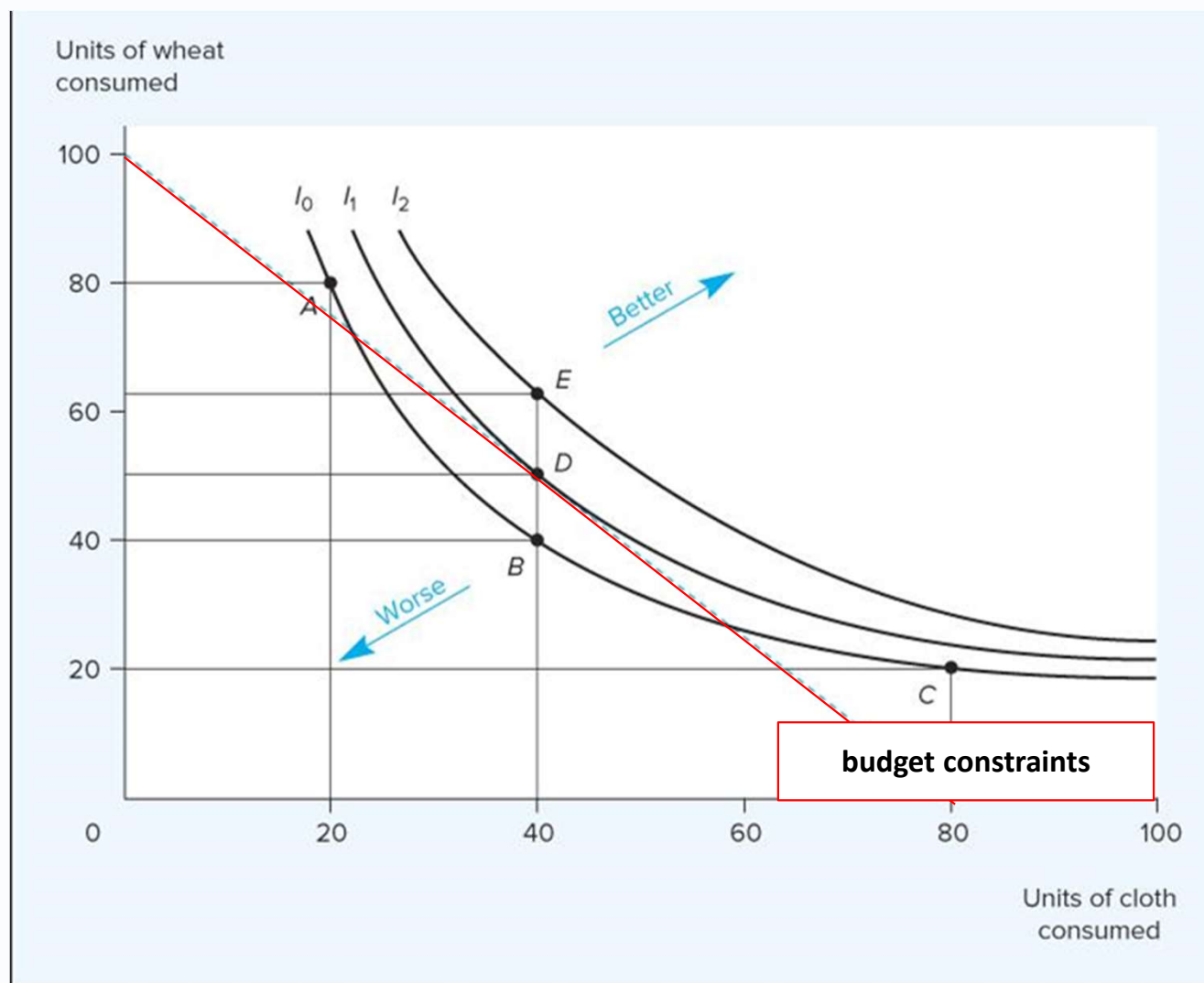
Cost of an extra cloth unit
(W/C)



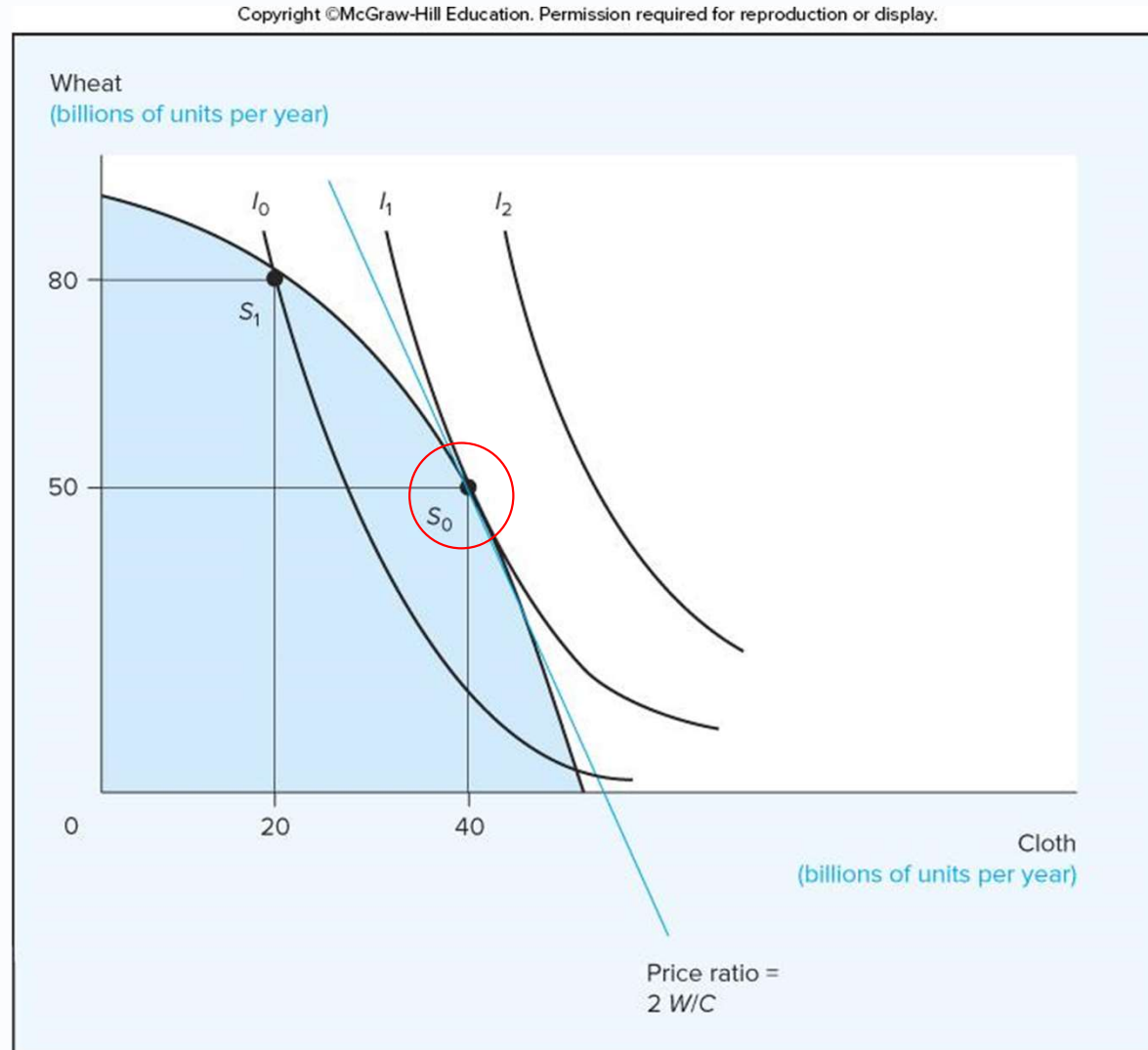
What Production Combination Is Actually Chosen?



Community Indifference Curves



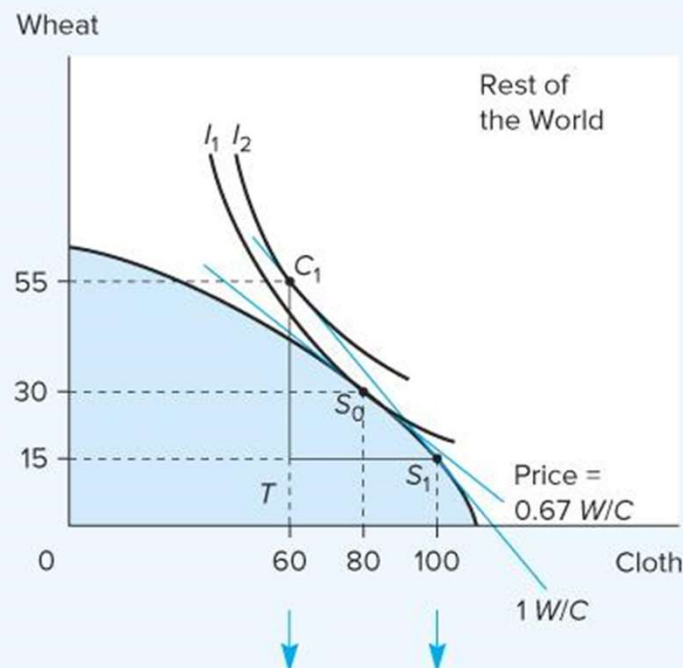
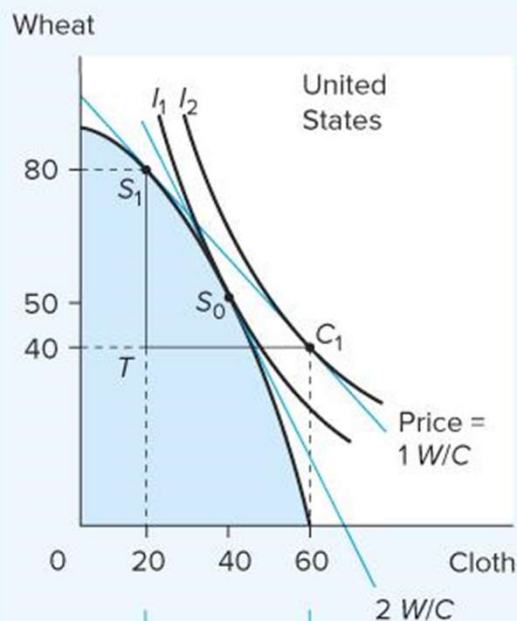
Indifference Curves and Production Possibilities without Trade



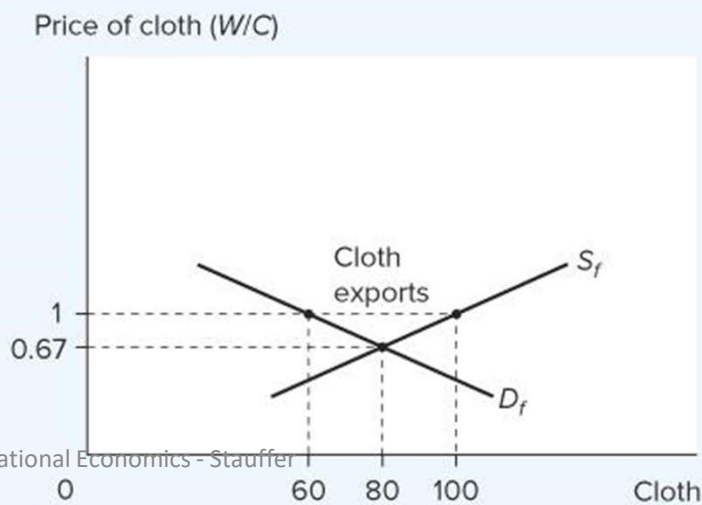
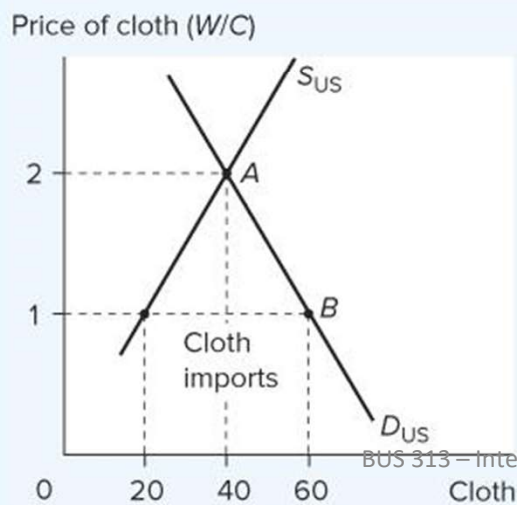
Two Views of Free Trade and Its Effects

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A. With Indifference Curves and Production-Possibility Curves



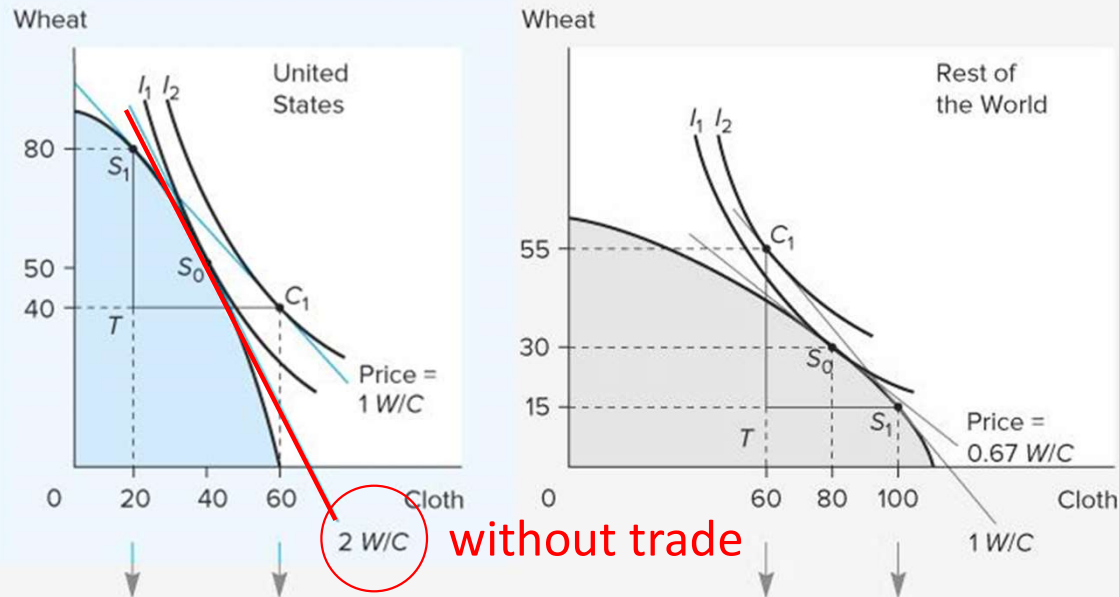
B. With Demand and Supply Curves



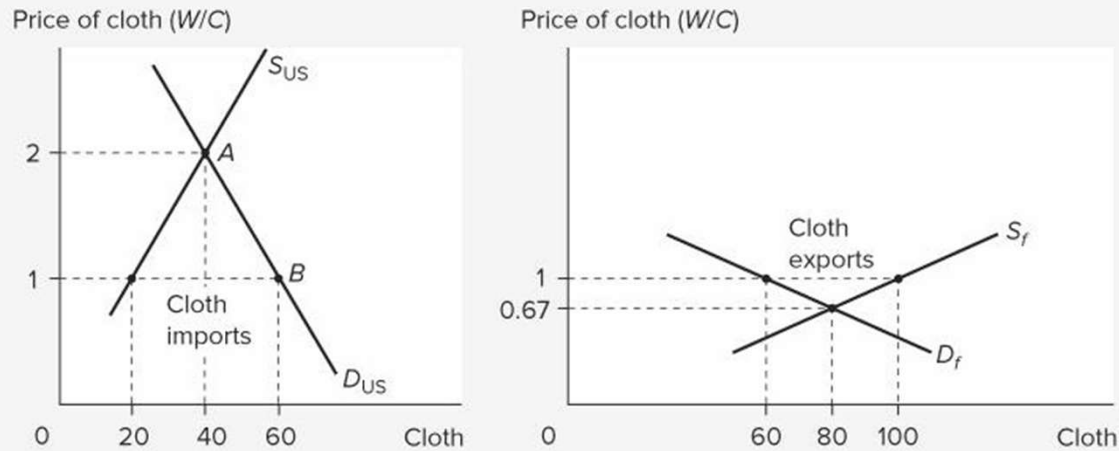
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A. With Indifference Curves and Production-Possibility Curves



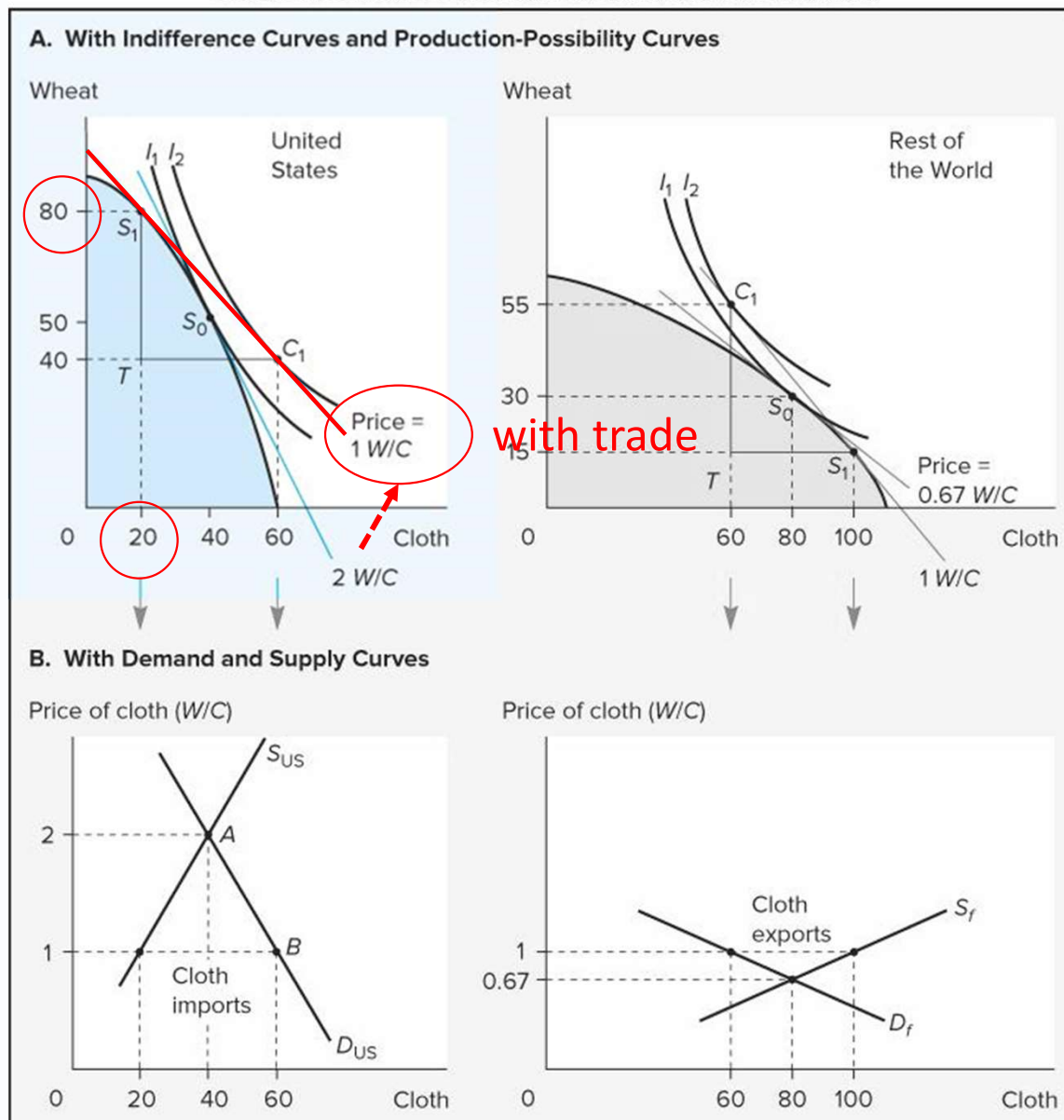
B. With Demand and Supply Curves



	Price of wheat
US	0.5 C/W (or 2.0 W/C)
ROW	1.5 C/W (or 0.67 W/C)

Two Views of Free Trade and Its Effects WITH TRADE

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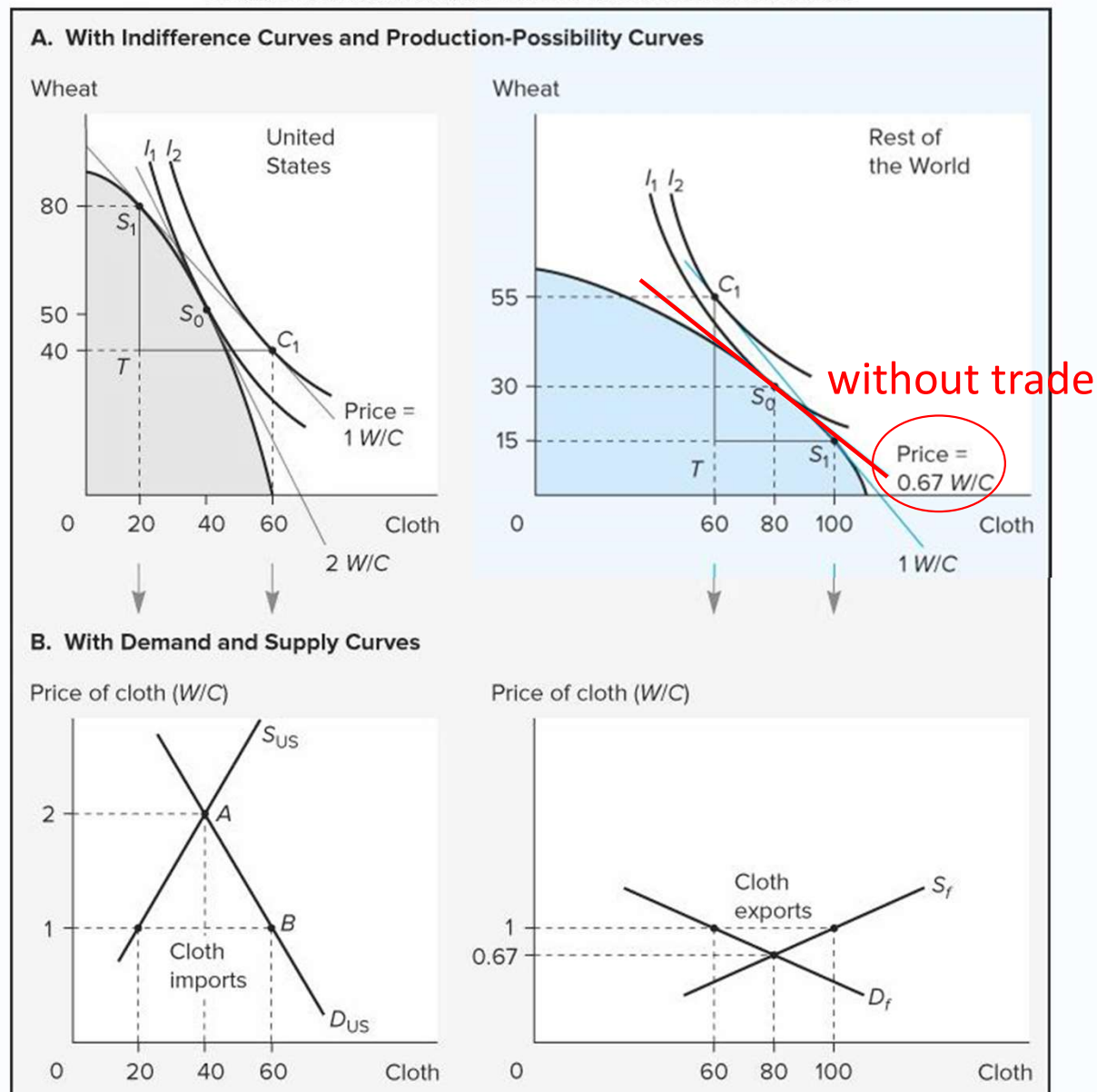


	Price of wheat
US	0.5 C/W (or 2.0 W/C)
ROW	1.5 C/W (or 0.67 W/C)
New international equilibrium price = 1 W/C	

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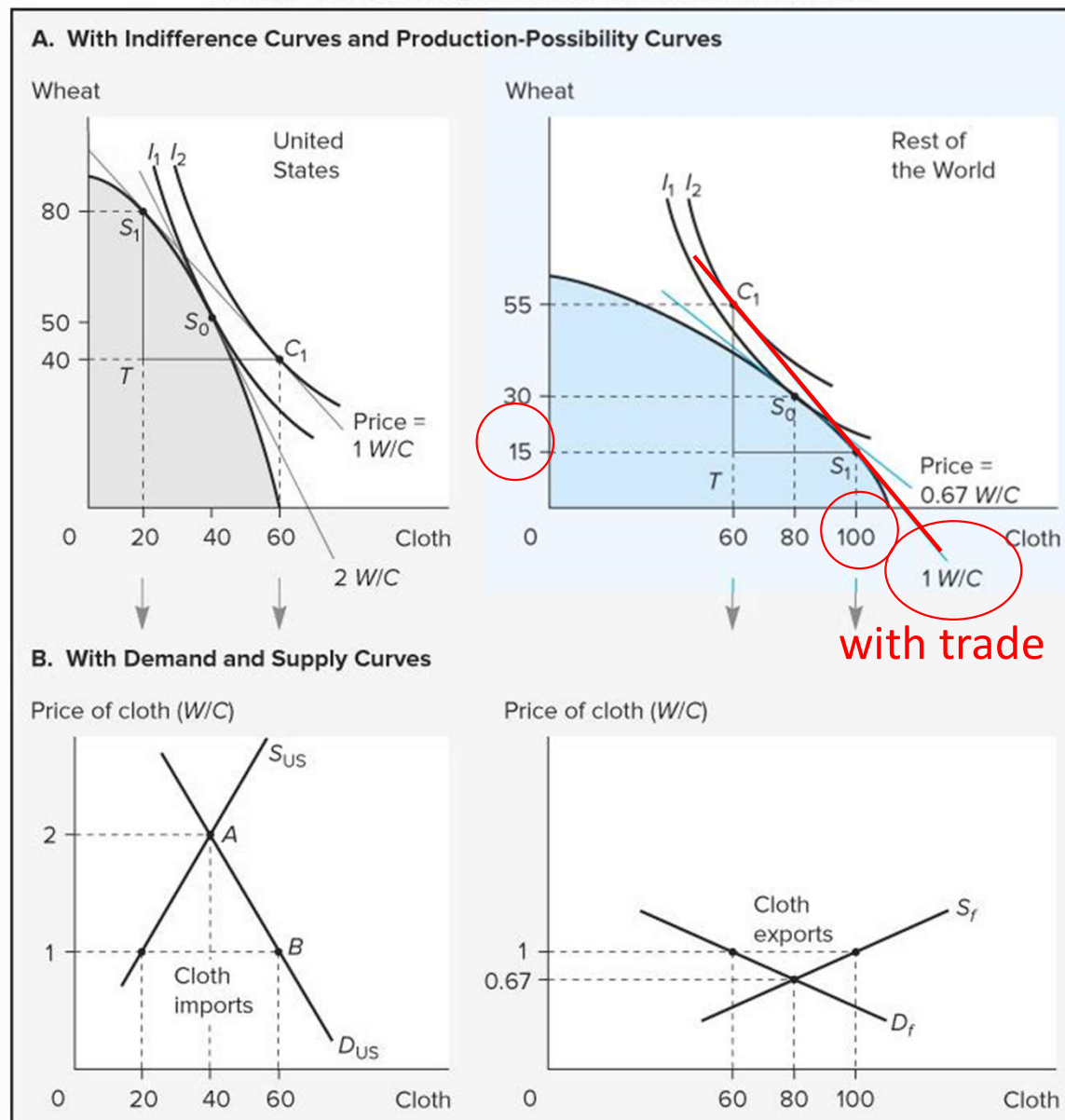
	Price of wheat
US	0.5 C/W (or 2.0 W/C)
ROW	1.5 C/W (or 0.67 W/C)



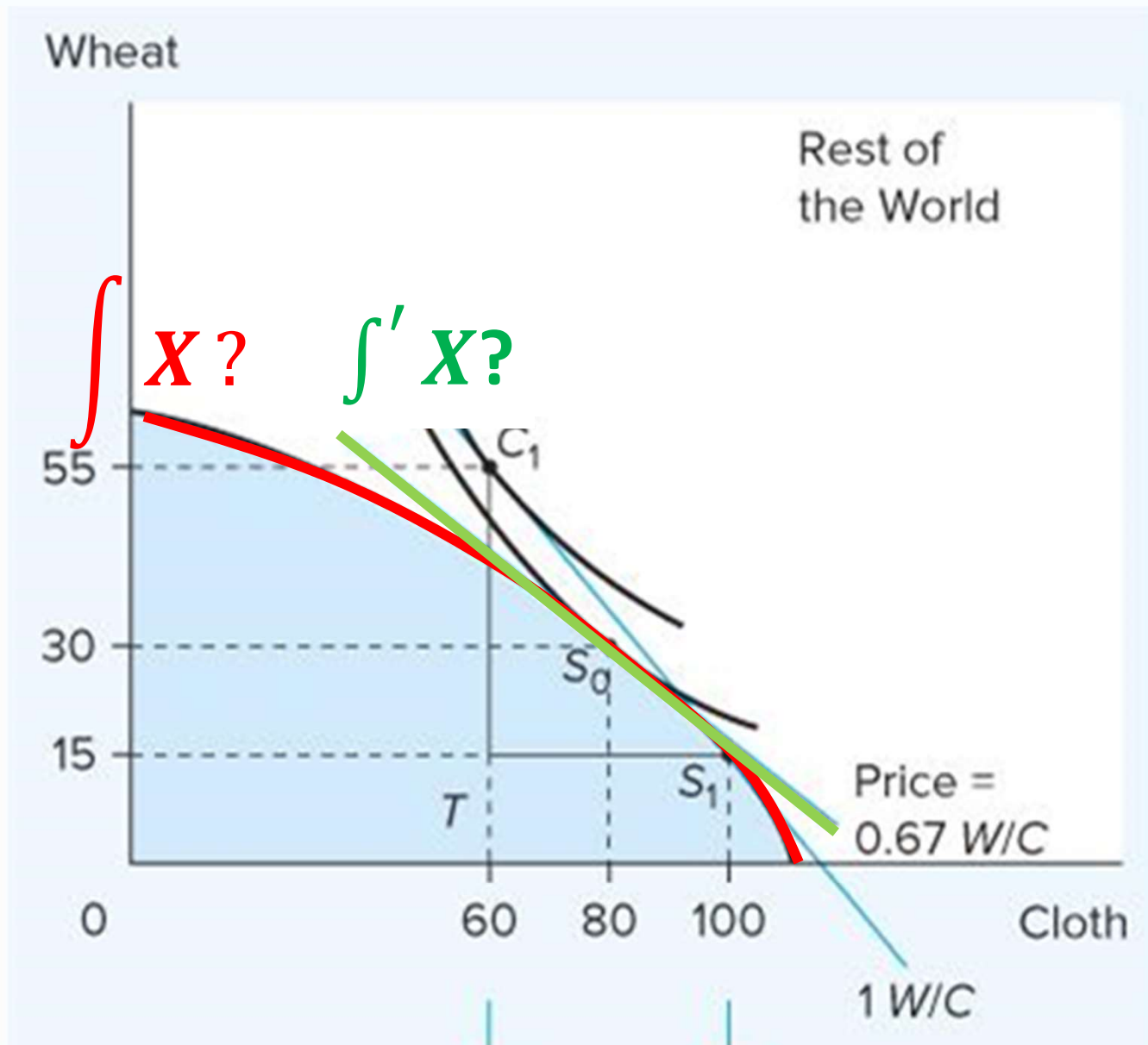
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	Price of wheat
US	0.5 C/W (or 2.0 W/C)
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New international equilibrium price = 1 W/C	



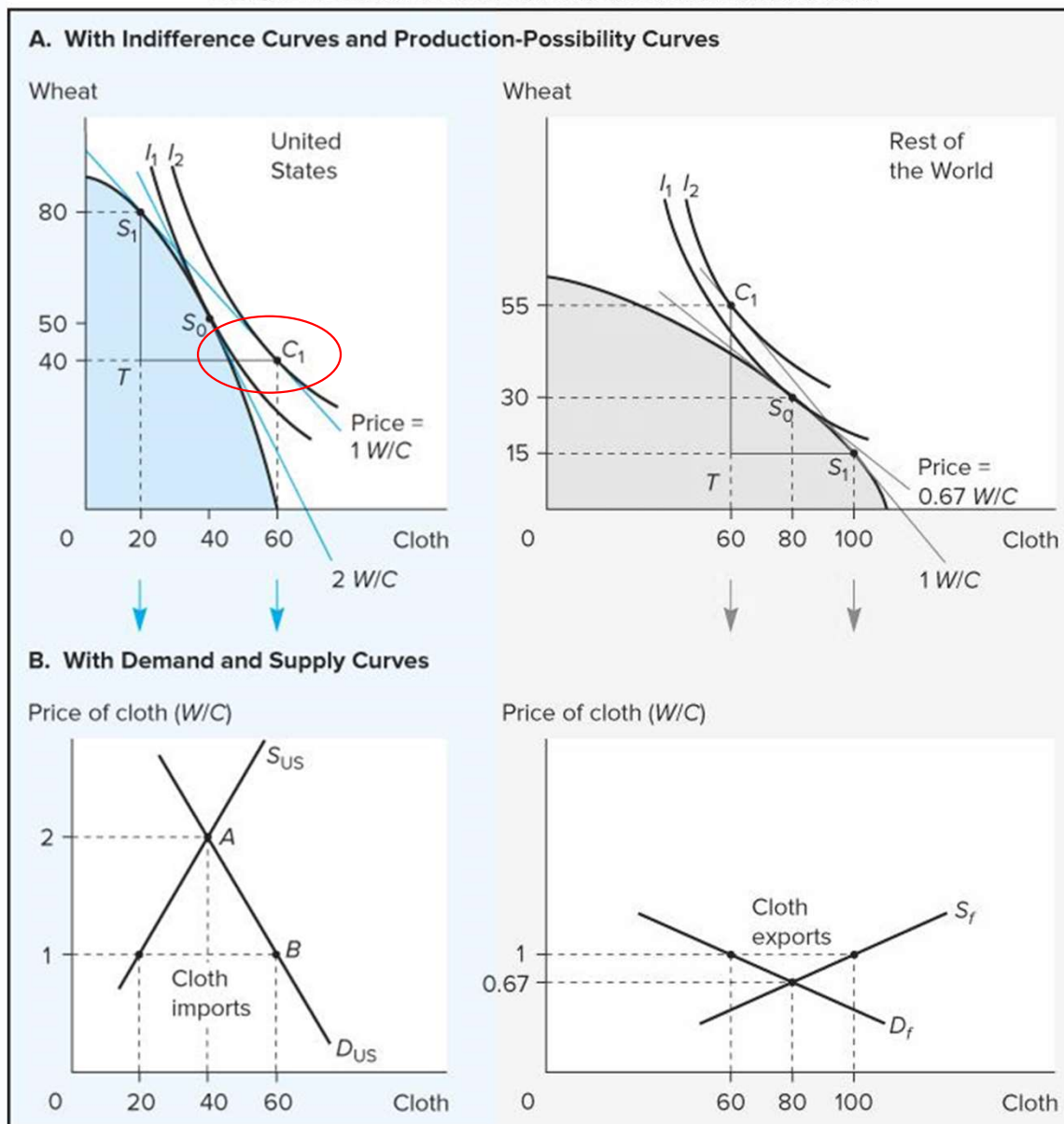
Math: Slope of tangent to a curve



Two Views of Free Trade and Its Effects

-- US Consumption --

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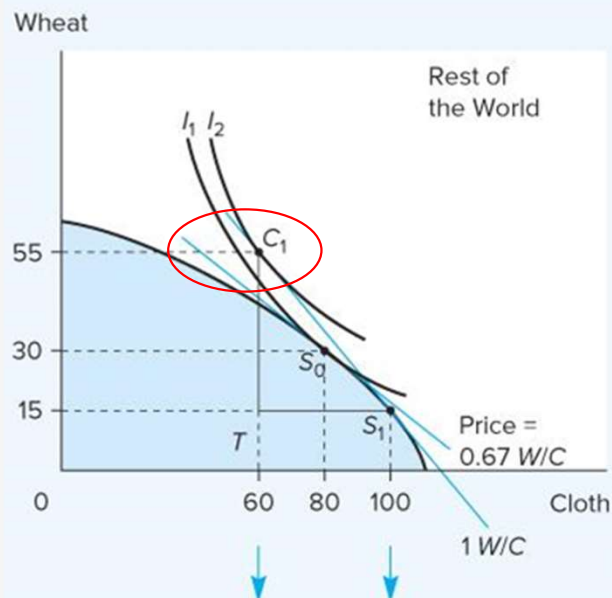
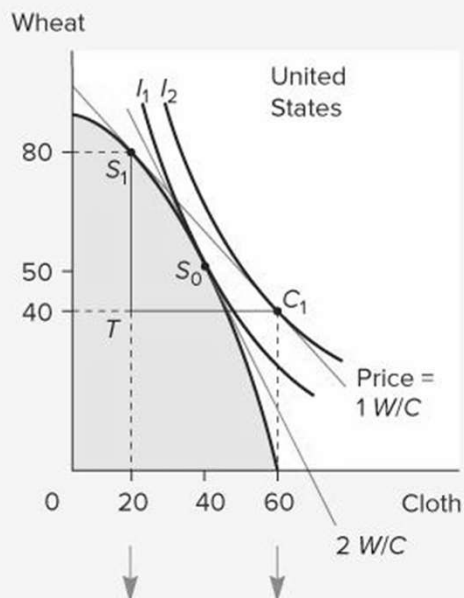


Two Views of Free Trade and Its Effects

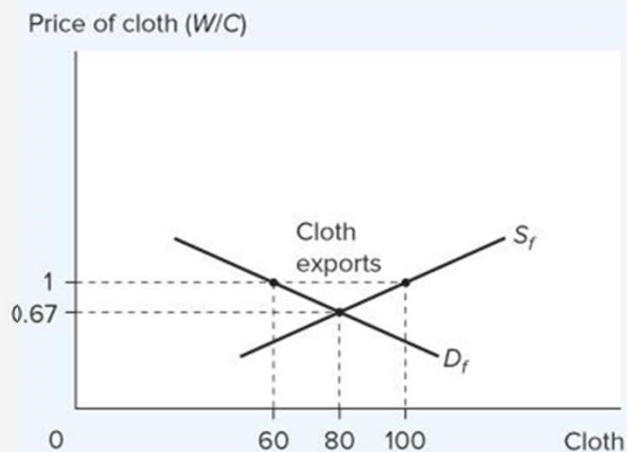
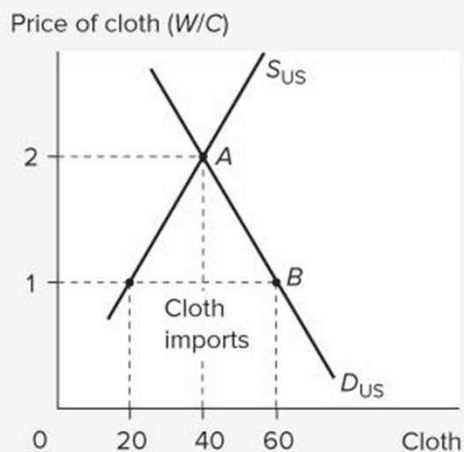
-- ROW Consumption --

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A. With Indifference Curves and Production-Possibility Curves



B. With Demand and Supply Curves



Gains from Trade

A country's gain depends on the price ratios before trade (autarky price) and after trade.

Product	Comparative Advantage	Relative Prices
Wheat	US (Expanding <u>Wheat Export</u> Sector)	US Wheat: 0.5 C/W < ROW: 1.5 C/W
Cloth	ROW (Expanding <u>Cloth Export</u> Sector)	ROW Cloth: 0.67 W/C < US: 2.0 W/C
New international equilibrium price = 1 W/C		

Trade affects both production and consumption patterns in both countries.

Heckscher-Ohlin (H-O) Theory of Trade

- 1) A country **exports** products that uses its relatively **abundant** factor(s) intensively, and
- 2) **imports** the product (or products) that uses its relatively **scarce** factor(s) intensively.

What are the abundant factors present in the US?

- Skilled labor
- Agricultural land
- ...

What are the scarce factors present in the US?

- Low wage, unskilled labor
- ...

Heckscher-Ohlin (H-O) Theory of Trade

There are two factors of production:

1. labor and
2. land.

$$\left(\frac{Land}{Labor}\right)_{U.S.} > \left(\frac{Land}{Labor}\right)_{ROW}$$



$$\left(\frac{Rent}{Wage}\right)_{U.S.} < \left(\frac{Rent}{Wage}\right)_{ROW}$$